Caterpillar demand quality

Was Caterpillar's 2026 Construction Industries growth driven by real end-user demand or dealer restocking?

Sam Felix · 5 October 2026, revised 14 October 2026 · Eight quarters, Q3 2024 – Q2 2026 · Sourced to Caterpillar and SEC filings, with earnings-call commentary identified as such

Caterpillar's Construction Industries growth leaned heavily on dealer restocking in Q1 2026; by Q2 the evidence points to a material shift toward end-user demand. The disclosed CI dealer build fell from $1.5B to $400M while retail sales growth rose from 7% to 22%.

8
quarters analyzed
Q3 2024 – Q2 2026

28 / 32
sales bridges reconcile independently
4 additional checks require caveats: 3 use back-solved prior-year values; 1 depends on a component disclosed only as "$3.1B"

5-level
evidence classification
sourced · derived · back-solved · not collected · not disclosed

16
comparability issues logged

A bridge is Caterpillar's own disclosed volume, price realization, currency and inter-segment components tested against its reported sales change, for three segments and the consolidated total across eight quarters. Reconciliation demonstrates internal consistency with those components, not that the right line items were chosen.

Construction Industries	Q1 2026	Q2 2026
Disclosed CI dealer-inventory build	**$1.5B**	**$400M**
Volume driver named first (order of mention)	dealer inventories	end users
Adjusted reported-vs-retail gap (directional)	~24 pts	~8 pts
Retail sales growth to end users	7%	22%
Reported CI sales growth	38.1%	34.8%

Reported growth barely moved. What produced it changed. The order of mention is sourced; reading it as a shift in the drivers' relative size is an analytical inference.

> Read the reported-vs-retail gap as a **directional** signal of dealer stocking, not as an accounting identity or an exact dollar measurement of inventory. The two disclosures differ in price basis, scope, the treatment of parts and services, and possibly currency.

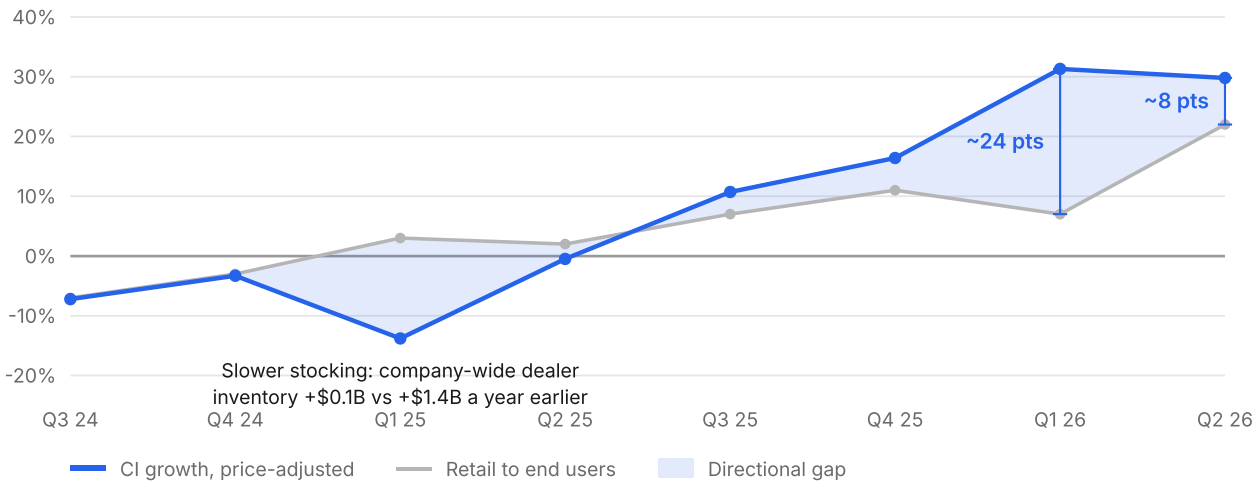
DEMAND QUALITY

The gap between shipments and end-user demand

Between Q1 and Q2 2026 the gap between what Caterpillar shipped and what dealers sold to end users narrowed sharply, from about 24 points to about 8 — a directional signal consistent with a smaller stocking contribution, not an accounting identity.

The shipping-to-retail gap narrowed sharply, from ~24 points to ~8, in Q2 2026

Construction Industries, year-over-year growth. Shaded band = the gap: a directional signal of dealer stocking.



The band is a DIRECTIONAL signal, not an accounting identity or a measured inventory amount. Retail is reported in price-neutral dollars based on unit sales, so price realization is stripped from the blue line. The two series do not reconcile arithmetically — they differ in price basis, scope, parts and services, and possibly currency. Retail growth is disclosed in whole percentages, hence ~24 / ~8. Disclosed CI dealer build: +$1.5B in Q1 2026, +$0.4B in Q2 2026 (Exhibit 3). Q1 2025 dealer figures are company-wide, not CI.

Caterpillar quarterly earnings releases and Ex 99.2 retail sales statistics, Q3 2024 – Q2 2026

The band is a directional signal. Where price-adjusted reported growth runs above retail growth, the pattern is consistent with dealer inventory building; where it runs below, it is consistent with slower accumulation or destocking. The signal is widest in Q1 2026 and narrows sharply in Q2.

Q1 2025 is the control case

The same pattern runs the other way a year earlier, which is what keeps it from being a story fitted to one quarter. Retail sales to end users rose 3% while price-adjusted CI shipments fell 13.8%. End demand was growing while reported shipments fell sharply, as company-wide dealer stocking slowed sharply (+$0.1B against +$1.4B a year earlier; no CI figure was disclosed that quarter).

Retail corroborates; it does not carry the finding

Q2 2026 retail growth of 22% is one strong quarterly observation, not an established trend. The finding rests primarily on the filed dealer-inventory dollars, with retail agreeing rather than leading. Management's changed order of mention is consistent with it, as an inference.

PRESSURE TEST

Does the directional proxy hold up?

I pressure-tested the reported-vs-retail signal against the four quarters where Caterpillar disclosed dealer-inventory changes. The sign agrees in all four. No magnitude can be tested: in Q1 and Q2 2026 the prior-year Construction Industries build is unquantified, Q3 2025 has no dollar figure, and Q1 2025 compares a CI estimate with a company-wide disclosure. The gap is a directional signal, not an accounting identity, so the test supports direction rather than size. Implied swings are rounded because retail growth is disclosed in whole percentages.

Construction Industries	**Q1 2025**	**Q3 2025**	**Q1 2026**	**Q2 2026**
Implied stocking swing (directional)	~−$1.1B	~+$0.2B	~+$1.3B	~+$0.5B
Disclosed build, this quarter	$100M (company-wide)	Increase (no dollar disclosed)	$1,500M	$400M
Disclosed build, prior-year quarter	$1,400M (company-wide)	Decrease (no dollar disclosed)	slight decrease (unquantified)	decrease (unquantified)
Scope	Company-wide	—	CI	CI
Verdict	**SIGN AGREES — scope differs, magnitude not tested**	**SIGN AGREES — no dollar disclosed, magnitude untestable**	**SIGN AGREES — prior-year build unquantified, magnitude untestable**	**SIGN AGREES — prior-year build unquantified, magnitude untestable**

Source: underlying workbook Analysis tab, based on Caterpillar dealer-inventory disclosures. Q1 2025 compares a CI-derived estimate against a company-wide disclosure; CI-level dollars were not disclosed that quarter. Q3 2025 is testable on direction only; no dollar amount was disclosed.

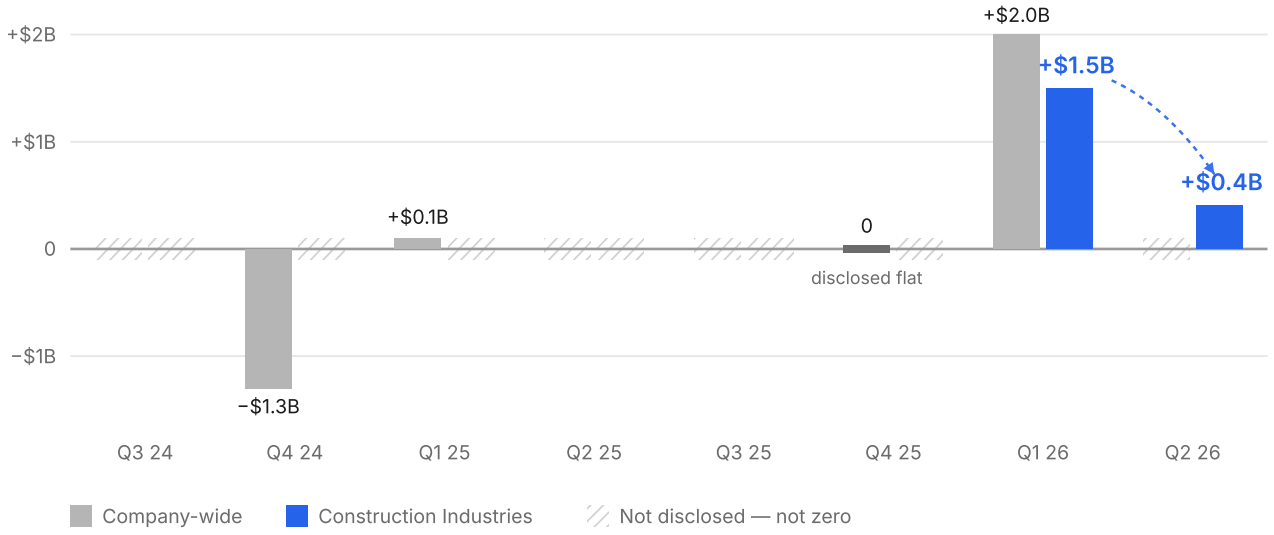
FILED EVIDENCE

What Caterpillar actually disclosed

The Construction Industries dealer build fell sharply from $1.5B in Q1 2026 to $400M in Q2 — roughly a quarter of its prior size, and the most direct evidence in this analysis. Q1 is seasonally a build quarter (management called the Q1 2026 figure "a more typical $1.5 billion increase in the first quarter"), so part of the sequential decline may be seasonal; the year-over-year pressure test is the seasonally matched check.

Construction Industries dealer build fell sharply from $1.5B to $0.4B in Q2 2026

Disclosed dealer-inventory change. Every quarter has two slots; a hatched stub means that figure was never disclosed.



Scope changes mid-series: segment-level dollars exist only for Q1 and Q2 2026.
Q1 2026 is the only quarter carrying both figures, where the CI build is 75% of the company-wide build.
Q1 is seasonally a build quarter (management: "a more typical $1.5 billion increase"), so part of the decline may be seasonal.

Caterpillar quarterly earnings releases; Q1 and Q2 2026 Forms 10-Q, accessions 0000018230-26-000021 and -000046

Both figures are confirmed in the filed Forms 10-Q by exact-phrase match against the EDGAR full-text index. The Q1 2026 filing also discloses a $2.0B company-wide build, making that quarter the only one in the series carrying both scopes — and there the Construction Industries build is 75% of the company-wide figure.

Showing all eight quarters rather than the two that make the point is deliberate. The chart is the complete disclosure record, so the decline is visibly the largest move within it rather than two bars selected from eight. The gaps are part of the evidence: Caterpillar does not disclose dealer-inventory dollars continuously, and a quarter with no figure is not a quarter with no change.

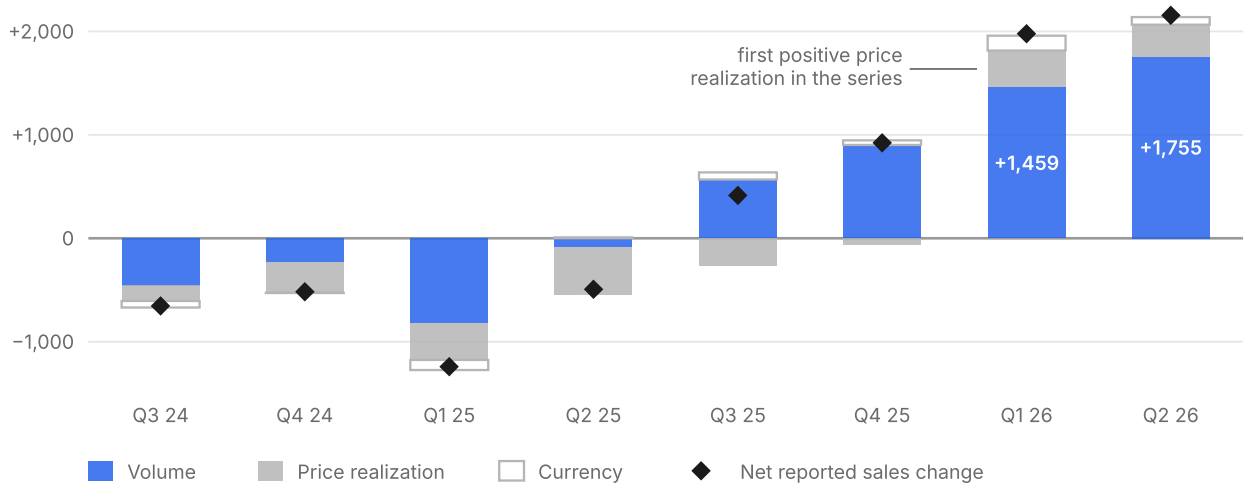
OPERATING DRIVERS

What produced the reported sales change

Volume — not price — produces the 2026 growth, which is what makes the demand-quality question the whole question rather than a detail.

Volume produces the 2026 growth; price turns positive only in 2026

Construction Industries sales change against the prior-year quarter, $ millions.
Stacked bars are component contributions; the diamond is the net reported change.



Inter-segment eliminations of $13–$40m a quarter are excluded for legibility, so the stacked components differ from the total diamond by that amount. This is a composition, not a reconciliation. In the underlying workbook, all four components reconcile to the reported change in seven of eight quarters; Q2 2025 closes by construction (prior-year sales back-solved).

Caterpillar quarterly earnings releases, Construction Industries segment sales bridges, Q3 2024 – Q2 2026

Price realization is negative in every quarter from Q3 2024 through Q4 2025 and turns positive for the first time in Q1 2026, contributing $356M against volume's $1,459M. Currency is immaterial throughout, peaking at $143M. In Q2 2026 volume contributes $1,755M of a $2,156M reported increase.

Because volume carries the growth, whether that volume reached end users or stopped in dealer inventory determines whether the growth is durable. That is the question the preceding two pages answer.

FORWARD JUDGMENT

What this implies, and what would break it

If dealer inventory stops building or draws down in H2 2026 while end-user demand holds, dealer stocking should contribute less to reported CI growth. Reported growth should therefore move closer to retail growth, or temporarily trail it during destocking.

Stated as inference, not finding. All three describe H2 2026, which had not been reported when this was written.

Strengthens the thesis

Retail growth remains elevated while dealer inventory growth continues to slow or turns negative.

Weakens the thesis

Retail growth falls materially in H2 while dealer inventories draw down, suggesting Q2's 22% was a temporary spike rather than evidence of durable end demand.

Alternative: demand pull-forward

Positive tariff-related price realization may have encouraged some customers to purchase earlier than planned, inflating Q2 retail at the expense of H2. A hypothesis, not a proven fact. H2 retail behavior should distinguish durable demand from pull-forward.

What I expected to corroborate — and didn't

I expected inventory-heavy Q1 2026 growth to show up as unusually weak cash conversion. It didn't — Q1 is seasonally weak and Q1 2026 operating cash flow was stronger than Q1 2025, so cash flow does not independently confirm the stocking thesis. It is reported here because leaving it out would be selective.

Margin context, and what the analysis cannot claim

Our reading, an analytical inference: the Q4 2025 margin trough was mainly a tariff cost shock rather than an underlying efficiency or cost-control deterioration, and the 2026 recovery is partly that pressure receding. The CI profit bridges remain only partly itemized.

Construction Industries	Q4 2025	Q1 2026	Q2 2026
Reported segment margin	14.9%	21.4%	23.3%
Unfavorable manufacturing costs, disclosed, $m (largely tariffs)	420	362	not disclosed
Tariff impact, disclosed on the call, bps	—	—	340
Tariff impact, derived from the 340 bps, $m	—	—	~284
Cost drag, bps (workbook method, not comparable with Q2)	~600	~510	—
Margin excluding that cost, derived (upper bound)	20.9%	26.5%	26.7%

Q4 2025 and Q1 2026: disclosed unfavorable manufacturing costs, which Caterpillar said largely reflected higher tariff costs; bps by a workbook method (ex-tariff margin from raw dollars less the rounded reported margin). Q2 2026: 340 bps disclosed on the call (sourced), about $284M derived. The methods are not comparable as a trend. Ex-tariff margin is an **upper bound**: the price realization that lifted it partly recovered the same tariff costs. Q2 2026 consolidated operating profit included $392m of one-time IEEPA recoveries, the majority in corporate items per the CFO; the CI share was not disclosed, so CI margin is unlikely to be materially affected (an inference).

Caterpillar 4Q 2025, 1Q 2026 and 2Q 2026 earnings releases and Q2 2026 earnings call

Tariffs recur while in force. In our reading this is a cost shock receding and price recovering it, not an efficiency or cost-control finding.

Limitations

- The gap is a directional signal, not an accounting identity or a dollar measure; the pressure test supports its sign, not its size.
- Reading management's changed order of mention as a change in the drivers' relative size is an inference.
- Q2 2026 retail strength is a single observation and needs H2 confirmation.
- Dealer-inventory dollars are not disclosed continuously at either scope, and Q1 is seasonally a build quarter.
- Guidance from the Q2 2026 call, not an observed outcome: Management expects a Q4 2026 Construction Industries dealer-inventory drawdown: CFO Kyle Epley said Caterpillar expects “a more typical reduction in Construction Industries dealer inventory of over $1 billion in the fourth quarter,” and CEO Joseph Creed said “We'll have a drawdown in the fourth quarter on CI dealer inventory.”

- Guidance from the Q2 2026 call, not an observed outcome: Management also expects full-year 2026 tariff costs of around $2.2 billion, excluding approximately $400 million of expected IEEPA tariff recoveries, at the low end of its prior range; for Q3 it expects tariff costs of around $600 million with about 50% incurred in Construction Industries (Q2 2026 call).

Methodology and sources

Financial figures are sourced to Caterpillar and SEC filings wherever available: quarterly earnings releases Q3 2024 – Q2 2026, Ex 99.2 Rolling 3-Month Retail Sales Statistics, and the Q1 and Q2 2026 Forms 10-Q (accessions 0000018230-26-000021 and -000046). Management commentary not reproduced in a filing is identified as earnings-call commentary and supported by transcript sources. No third-party estimates or analyst summaries are used as financial inputs. Where the 10-Q documents would not serve Item 2 on retrieval, figures were confirmed by exact-phrase match against the EDGAR full-text index — present in the filing, though the surrounding sentence was not read.

Underlying workbook available for download — the eight-quarter dataset, 32 sales bridge checks (28 independent, 4 with caveats), a five-level evidence classification for every figure (sourced, derived, back-solved, not collected, not disclosed; no estimates), and the comparability log.